

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) “us”, “our”, “we”, “the Company” and “YUM” refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) “the Parent” refers to YUM! Brands, Inc., on a stand-alone basis, (iii) “the Issuers” refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of \$750 million of 4.75% Senior Notes due 2027 (the “Subsidiary Senior Unsecured Notes”) and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2021 filed with the SEC (the “2021 10-K”) on February 22, 2022; (iv) “the Specified Guarantors” refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) “the Companies” refers to collectively the Issuers and the Specified Guarantors, (vi) “the Taco Bell Securitization Entities” refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) “the Habit Entities” refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the “Restricted Group” refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Consolidated Financial Statements (“Financial Statements”) and the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” contained in our 2021 10-K and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group’s pro forma results of operation and financial condition together with the information included in our 2021 10-K, especially the information under the heading “Risk Factors”.

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of the Habit Entities (until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group) as well as the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Amount			% B/(W)	
	2021	2020	2019	2021	2020
Company sales	\$ 1,985	\$ 1,464	\$ 1,546	35	(5)
Franchise and property revenues	2,238	1,915	2,060	17	(7)
Franchise contributions for advertising and other services	1,578	1,332	1,391	18	(4)
Total revenues	<u>5,801</u>	<u>4,711</u>	<u>4,997</u>	23	(6)
Company restaurant expenses	1,667	1,218	1,286	(37)	5
G&A expenses	922	888	778	(4)	(14)
Franchise and property expenses	117	145	180	18	20
Franchise advertising and other services expense	1,576	1,314	1,368	(20)	4
Refranchising (gain) loss	(35)	(34)	(37)	2	(9)
Other (income) expense	2	11	4	77	NM
Total costs and expenses, net	<u>4,249</u>	<u>3,542</u>	<u>3,579</u>	(20)	1
Operating Profit	1,552	1,169	1,418	33	(18)

For fiscal years 2021, 2020 and 2019 rent expense for the Restricted Group was \$144 million, \$116 million and \$121 million, respectively.

	2021	2020	2019	% Increase (Decrease)	
				2021	2020
<u>Unit Count</u>					
Franchise & License	45,833	42,897	42,958	7	-
Company-owned	1,051	845	913	24	(7)
	<u>46,884</u>	<u>43,742</u>	<u>43,871</u>	7	-

	2021	2020	2019
Same-Store Sales Growth (Decline) %	10	(8)	3
System Sales Growth (Decline) %, reported	17	(6)	6
System Sales Growth (Decline) %, excluding FX	14	(6)	9
System Sales Growth (Decline) %, excluding FX and 53rd week	N/A	(5)	8

Taco Bell Securitization Entities:

The securitization transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,540, 6,324 and 6,299 U.S. Taco Bell franchise units were excluded from the Restricted Group for the fiscal years 2021, 2020 and 2019, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of \$661 million, \$594 million and \$600 million were excluded from the Restricted Group for the fiscal years 2021, 2020 and 2019, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the securitization transaction.

Company Restaurant Expenses

- The Restricted Group includes \$52 million, \$49 million and \$51 million of additional company restaurant expenses for the fiscal years 2021, 2020 and 2019, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of \$120 million, \$137 million and \$132 million for the fiscal years 2021, 2020 and 2019, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- Prior to August 19, 2021, on an annual basis, these management fees were equal to the sum of a base fee of \$35 million (subject to 2% per annum escalation, compounded annually) plus 15.1% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year. Effective August 19, 2021, pursuant to a refinancing transaction completed by the Taco Bell Securitization Entities, these management fees, on an annual basis, are equal to the sum of a base fee of approximately \$30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).

Habit Burger Grill:

On March 18, 2020, YUM! Brands, Inc. completed the acquisition of all of the issued and outstanding common shares of The Habit Restaurants, Inc., which owns the restaurant concept The Habit Burger Grill. The Habit Entities were excluded from the Restricted Group until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group. The exclusion of the Habit Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group in comparison to the corresponding data of YUM.

- Company sales of \$121 million and \$346 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.

- Franchise and property revenues of \$1 million were excluded from the Restricted Group for each of the fiscal years 2021 and 2020.
- Company restaurant expenses of \$110 million and \$337 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.
- G&A expenses of \$12 million and \$33 million were excluded from the Restricted Group for the fiscal years 2021 and 2020, respectively.
- Goodwill impairment charges of \$144 million recorded to Other (income) expense were excluded from the Restricted Group for the fiscal year 2020.
- A total of 253 company units and 34 franchise units were excluded from the Restricted Group as of December 31, 2020.

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by \$6 million, \$6 million and \$7 million for the fiscal years ended 2021, 2020 and 2019, respectively.

Restricted Group - Taco Bell Division

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

(in millions)

				% B/(W)		% B/(W)		Ex FX and 53 rd Week in 2019
	2021	2020	2019	2021	2020	2021	2020	
System Sales	\$ 1,609	\$ 1,333	\$ 1,410	21	19	(5)	(5)	(4)
Same-Store Sales Growth %				13	N/A	(8)	N/A	N/A
Company sales	\$ 944	\$ 882	\$ 921	7	7	(4)	(4)	(3)
Franchise and property revenues	81	68	73	20	19	(7)	(7)	(6)
Franchise contributions for advertising and other services	552	487	485	14	14	—	—	2
Total revenues	<u>\$ 1,577</u>	<u>\$ 1,437</u>	<u>\$ 1,479</u>	10	10	(3)	(3)	(1)
Company restaurant profit	\$ 173	\$ 176	\$ 170	(2)	(2)	3	3	6
Company restaurant margin	18.4 %	20.0 %	18.5 %	(1.6) ppts.	(1.6) ppts	1.5 ppts	1.5 ppts.	1.6 ppts.
G&A expenses	\$ 54	\$ 21	\$ 49	(159)	(157)	57	57	59
Franchise and property expenses	33	33	38	(3)	(3)	16	15	15
Franchise advertising and other services expense	553	484	481	(14)	(14)	(1)	(1)	(2)
Operating Profit	\$ 165	\$ 190	\$ 164	(13)	(13)	16	16	19

Unit Count	2021	2020	2019	% Increase (Decrease)	
	2021	2020	2019	2021	2020
Franchise	789	628	596	26	5
Company-owned	462	475	468	(3)	1
Total	<u>1,251</u>	<u>1,103</u>	<u>1,064</u>	13	4

Company Sales. In 2021, the increase in Company sales was driven by same-store sales growth of 7% and unit growth, partially offset by refranchising.

Company Restaurant Margin %. In 2021, the decrease in Company restaurant margin percentage was driven by higher restaurant operating costs, principally labor and commodities, partially offset by same-store sales growth.

G&A Expenses. In 2021, the increase in G&A, excluding the impacts of foreign currency translation, was driven by lower management fees paid by the Taco Bell Securitization Entities, higher expenses related to our annual incentive compensation programs, higher professional fees and higher charitable contributions, partially offset by lower headcount and lower share-based compensation.

Operating Profit. In 2021, the decrease in Operating Profit was driven by higher restaurant operating costs and higher G&A costs, partially offset by same-store sales growth and unit growth.

Additional Information Related to Restricted Group:

The Novel Coronavirus (COVID-19) Global Pandemic

Our restaurant operations and results were significantly impacted by a novel strain of coronavirus, COVID-19, beginning in 2020 and continuing into 2021. As COVID-19 spread throughout the U.S. and the rest of the world, governmental authorities implemented measures to reduce the spread of COVID-19. These measures include restrictions on travel outside the home and have other limitations on business and other activities as well as encouraging social distancing. As a result of COVID-19, we and our franchisees have experienced significant store closures and instances of reduced store-level operations, including reduced operating hours and dining-room closures. We and our franchisees have also experienced interruptions of food and other supplies as well as labor shortages that have impacted restaurant operations.

The impact on our sales in each of our markets has been dependent on the timing, severity and duration of the outbreak, measures implemented by government authorities to reduce the spread of COVID-19, as well as our reliance on dine-in sales in the market. In response, we accelerated our deployment of digital and technology initiatives to enhance the customer experience and our off-premise capabilities. This included increasing our focus on driving digital sales where customers utilize ordering interaction that is primarily facilitated by automated technology. For our restaurants that prominently feature drive-thru, carryout and delivery options, COVID-19 has in many cases contributed to an increase in sales during 2020 and 2021.

Credit Agreement

On March 15, 2021, the Issuers completed the refinancing of the then existing \$1.9 billion term loan B facility, \$431 million term loan A facility and \$1.0 billion revolving facility through the issuance of a \$1.5 billion term loan B facility maturing March 15, 2028, a \$750 million term loan A facility maturing March 15, 2026 and a \$1.25 billion revolving facility maturing March 15, 2026 pursuant to an amendment to the Credit Agreement (as defined in our 2021 Form 10-K).

On April 23, 2021, the Issuers issued a notice of redemption for June 1, 2021 for \$1,050 million aggregate principal amount of 5.25% Subsidiary Senior Unsecured Notes due in 2026. The redemption amount was equal to 102.625% of the principal amount redeemed, reflecting a “call premium”, plus accrued interest to the date of redemption.

Refer to the 2021 10-K for further discussion.